FINRA TRACE Dissemination Cap - Frequently Asked Questions

Prepared as of 2026-06-30 to explain how the dissemination cap on this file's FINRA TRACE trade extracts works, so a reader who sees a capped print (a size shown as, for example, '1MM+' rather than the actual traded size) understands what that label does and does not tell them. Everything below describes a real, published FINRA mechanism, not a case-specific convention.

Q1. What is TRACE, and what does 'dissemination' mean?

The Trade Reporting and Compliance Engine (TRACE) is FINRA's mandatory trade-reporting facility for over-the-counter secondary-market transactions in most publicly traded corporate and agency debt securities. FINRA members must report each qualifying transaction to TRACE, and FINRA in turn 'disseminates' - publishes - most of that trade information to the market on a near-real-time basis. Dissemination is what makes TRACE data useful for relative-value work: it is a genuine, publicly observable record of where a bond actually traded, not a quoted or indicative price.

Q2. What is a dissemination cap, and why does it exist?

A dissemination cap is a ceiling on the traded size FINRA will publish for a given transaction, even though FINRA itself receives - and uses internally for surveillance purposes - the true, uncapped size. Above the cap, the publicly disseminated record shows only that the trade was 'at or above' the cap, not the true size. The rationale, unchanged since the cap's original adoption, is to protect the party on the large side of a block trade from having the market infer its remaining position and trade against it before that position can be worked off - a real market-structure protection, not an arbitrary limitation on transparency.

Q3. What are the current caps?

The cap is a two-tier, credit-rating-based split, not a single flat threshold: investment-grade corporate and agency debt is capped at $5,000,000 par, disseminated as '5MM+'; non-investment-grade or unrated corporate and agency debt is capped at $1,000,000 par, disseminated as '1MM+'. Both figures are current as of this note's date - a 2019 FINRA proposal (Notice 19-12) to raise both caps was never adopted, and FINRA's most recent guidance confirms the reporting mechanics are otherwise unchanged. Reading a print's cap tier correctly therefore requires knowing the issue's own credit rating; the two tiers are not interchangeable and a reader who assumes a flat cap will misread which label applies.

The target notes in this file's own extract are rated B1 (Moody's) / B+ (S&P) - below investment grade on both scales - so the $1,000,000 tier and the '1MM+' label are the ones that apply to that extract, and to every comparable-issuer extract in this same folder, all of which are similarly rated below investment grade.

Q4. How is a trade's cap tier determined?

By the issue's own credit rating at the time of the trade, not by the size of the trade itself and not by any characteristic of the counterparties. An issue that is downgraded from investment grade to non-investment grade moves from the 5MM+ tier to the 1MM+ tier going forward; a print made before such a downgrade retains whichever tier applied when it was disseminated. Where multiple rating agencies disagree, or a bond carries a split rating, the applicable convention follows FINRA's own published rule text rather than an ad hoc analyst choice - this note does not attempt to resolve every edge case, only to state the ordinary rule that governs the extracts in this file, which do not present a split-rating ambiguity at the relevant tier boundary.

Q5. What does a '5MM+' or '1MM+' label actually mean on a print?

It means the true traded size was at or above the stated cap - nothing more precise than that. A '1MM+' print could have been a $1,000,000 trade or a $40,000,000 trade; the disseminated record does not distinguish between them. Treating a capped label as if it were the actual size - for instance, summing capped labels across several prints to estimate total volume traded - systematically understates true volume whenever the cap binds, and is the single most common misreading of a TRACE extract that is not otherwise made explicit.

Q6. Is price or yield the primary reported figure?

Price. A corporate bond trade's contractually agreed, primary economic term is the price at which the security actually changed hands, reported as a percentage of par to up to six decimal places. The yield figure that accompanies a TRACE print is FINRA's own derived convenience calculation from that price (together with the security's coupon and maturity/call terms), offered so a reader does not have to compute it independently - but it is a derived figure, not the primary traded term, and a reader reconciling this file's extracts against an independent yield calculation should expect small differences attributable to day-count and settlement-date convention choices, not treat any such difference as evidence that a price is wrong.

Q7. What does the trade-execution time field mean?

TRD_EXCTN_TM is the time of execution, reported in military (24-hour) time as HHMMSS in the reporting member's local convention for TRACE purposes (Eastern Time). A print timestamped 093000 executed at 9:30:00 AM; one timestamped 153000 executed at 3:30:00 PM. TRD_EXCTN_DT is the corresponding trade date in YYYYMMDD form. Together, the two fields let a reader sequence same-day prints correctly, which matters when a security trades multiple times in one session and a reader needs the most recent print rather than an average.

Q8. How quickly must a trade be reported?

FINRA members must report a qualifying TRACE-eligible transaction within 15 minutes of the time of execution under the currently operative rule (the industry's earlier proposal to shorten this to a 1-minute reporting window was ultimately rescinded rather than adopted). A reporting delay inside that window is normal and does not itself indicate

anything irregular about a print; a reader should not infer a data quality problem purely from the reporting timestamp differing slightly from the execution timestamp within that window.

Q9. Why do some prints in this file's extracts show a capped label?

Because several of the trades included in these extracts were, in fact, at or above the applicable $1,000,000 non-investment-grade cap, and FINRA's own dissemination convention (Q2-Q3 above) requires exactly that: report the true size internally, disseminate the capped label publicly. A reader who wants to know whether a given issue trades in genuinely large size, or merely trades at exactly the cap repeatedly, cannot answer that question from the disseminated record alone - the capped label is a floor on size, not a point estimate, and this file's extracts should be read with that limitation in mind whenever a capped label appears.

Q10. Common misreadings to avoid

Do not treat a capped label as an exact size. Do not assume a single flat cap applies to every bond regardless of rating - check the issue's own rating first. Do not confuse the derived yield figure with the primary traded price. Do not infer a data-quality problem from an execution-to-reporting lag that falls inside the permitted reporting window. And do not sum capped labels across multiple prints and present the total as a measured aggregate traded volume - the true aggregate is, by construction, unknowable from a dissemination-capped record alone, and a careful reader states that limitation rather than manufacturing a precise-looking total the underlying data cannot actually support.